

Corporate bond returns, especially junk bond returns, have historically closely resembled equity returns. This is intuitive because firm values fall during bad times of slow economic growth, slashing the value of equity and corporate debt alike. In addition, liquidity risk in corporate bonds is a major risk factor.

But overall, fixed income is mainly about level. Level reflects Fed risk: how the Fed responds to inflation and output changes, and the Fed's unanticipated monetary policy actions. Watch the Fed.